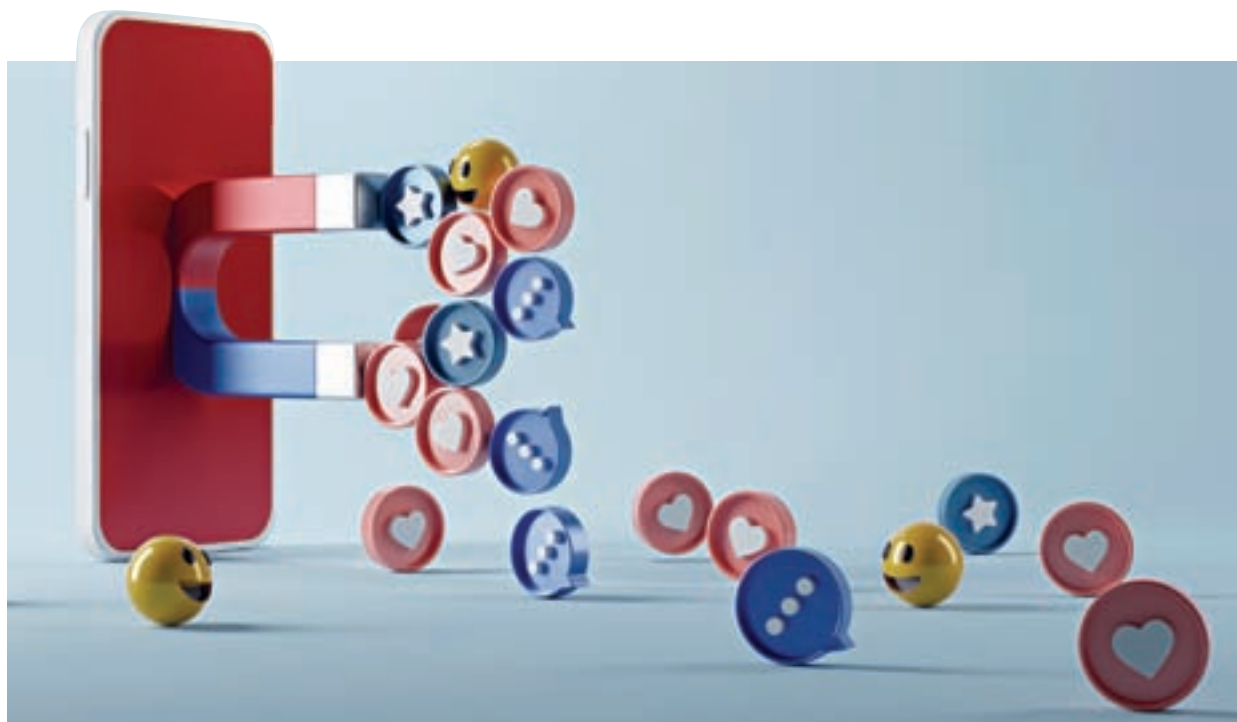




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18 | The Short-video Juggernaut

Short-video apps have become a key marketing platform for brands that are marrying content and commerce to build a loyal customer base

BY SOHINI MITTER

► **'TIS THE AGE** of short videos. Due to the declining attention spans of internet users, brands are increasingly relying on quick, snappy, audiovisual content on their social media channels to communicate with the target audience. As a result, short-video apps in India have exploded in the past few years.

From home-grown apps such as Sharechat's Moj, Dailyhunt's Josh, MX Player's Takatak, InMobi's Roposo to global ones like Reels on Meta's Instagram and YouTube Shorts by Google, Indians just cannot have enough of them. Studies estimate that more than 275 million users in India hop on to short-video apps every month, and spend roughly 33 minutes per day on them. Nearly two-thirds (66 per cent) of these monthly active users hail from Tier II+ cities, says a recent Redseer study. This makes India a one-of-a-kind market for brands, unlike in the West, where these platforms are heavily indexed on metro and Tier I cities. "Indian short-form video market monetisation is at the cusp of a breakout and could potentially be an opportunity of \$8-12 billion by 2030," says Redseer. But what is

powering this monetisation? It's the "creator economy"—a term that describes the ecosystem of internet influencers who earn from brand collaborations on social media. India was estimated to have more than 80 million creators in 2022, per venture capital fund Kalaari Capital, and they are driving user engagement—and revenues—for brands on social media.

Brands have come to realise that influencer marketing on short-video apps drives a higher ROI than traditional channels. "The marketing spend on influencers is projected to be worth \$2.8-3.5 billion in 2028, from the current level of \$0.35-0.4 billion," says Mohit Rana, Partner at Redseer Strategy Consultants.

Budgets allocated by brands towards influencer marketing more than doubled from 10-15 per cent a few years ago to 25-30 per cent in 2022, per Redseer. Companies that traditionally created ads meant for television have now tailored their ad spends and content towards short-video influencers as these are more effective and less expensive than TV.

E-commerce giant Flipkart, for instance, works with over 500 influencers and is allocating around 25 per cent of its ad budget towards them. In October 2021, it partnered with Moj to enable video commerce experiences. "We saw engagement with vernacular creators grow by 30 per cent year-on-year and it has become a key part of our influencer marketing approach," says Dushyanth